Prime Mart

Stakeholder Meeting Report

Sales Performance & Customer Retention Analysis | FY 2025

About This Document

- This document is a record of a simulated stakeholder meeting conducted as part of the Prime Mart BI project.
- The questions in this document were not pre-written or copy pasted from any source. They were generated live by Claude AI, which took the role of a stakeholder at Prime Mart and asked random, unpredictable questions based on what it observed in the dashboard visuals in real time.
- The answers to each question were not prepared in advance. Each response was formed by deeply analysing the data from the Power BI dashboard, cross referencing multiple visuals, and deriving meaningful business insights on the spot.
- The February stockout finding, the Narendra Nagar geographical insight, and the supply chain connection to customer churn were all discovered during the meeting itself — not before it.
- This exercise simulates a real-world data analyst presentation scenario where the analyst must think critically under pressure, defend their numbers, and extract insights beyond what is directly visible on the dashboard.
- The 7-point strategic recommendation at the end was built collectively through the conversation — combining the analyst's data-driven observations with stakeholder level business thinking.
- The purpose of this document is to demonstrate not just dashboard building skills but also data storytelling, analytical reasoning, and the ability to communicate insights clearly to a non-technical audience.

Section 1: Sales Performance Analysis

The following questions were raised during the stakeholder review of the Sales Performance dashboard for the year 2025.

Q1. Overall metrics show decline across most KPIs. Are we growing revenue per customer but losing customers overall? Is this a strategy we are comfortable with or a warning sign?

Answer: The main KPIs such as Sales, Quantity, Customers, and Orders have declined compared to the previous year. However, Average Revenue Per Customer has increased by 5.3%, indicating that despite the decline in major sales-related metrics, the remaining customers are spending more on average.

The primary reason behind this increase is that Total Sales declined by only 0.8%, while the number of Customers decreased by a much larger margin of 5.8%. Since the customer count dropped faster than total sales, the Average Revenue Per Customer increased.

This suggests that the remaining customers contributed higher spending, which can also be observed in the Monthly Total Sales Trend visual, where sales crossed the $100K mark in January — the highest monthly sales figure in the last few years**.**

Result / Insight: Total Sales declined by 0.8%, while Customers and Orders decreased by 5.8% and 5.7% respectively. The only positive metric is Average Revenue Per Customer, which increased by 5.3%.

This indicates that the business is not experiencing organic growth, as the overall customer base and transaction volume are shrinking. Instead, revenue is being partially sustained by a smaller group of customers who are spending more compared to the previous year.

Suggestions:

- Focus on volume recovery rather than relying on small group of customers balancing the revenue.
- Monitor customer churn closely as 5.8% customer decline is a leading indicator of future revenue risk.

Q2. Top products are selling fewer units in 2025 vs 2024. Is the February stockout situation causing customers to permanently switch to competitors?

Answer: January 2025 showed an unexpectedly high sales spike (nearly $100K) — likely due to a heavy sales campaign or monthly target push. This caused products to go out of stock. Suppliers were unable to replenish at the same rate, resulting in February showing a 31.7% MOM sales drop, 32.1% MOM quantity drop, and 25.7% MOM orders drop. The 2024 trend showed no such spike — steady monthly performance resulted in better inventory management.

Result / Insight: The February stockout directly impacted customer trust and likely caused permanent customer loss to competitors. Customers who came during the stockout and found unavailable products may have switched permanently.

Suggestions:

- Avoid aggressive single-month sales targets that exceed current supply chain capacity.
- Add backup suppliers before attempting large-scale campaigns.

- Monitor monthly customer return rates post-campaign to detect permanent churn.
- Target steady monthly revenue over spike-and-crash patterns.

Section 2: Customer Retention & Churn Analysis

The following questions were raised during the stakeholder review of the Customer Retention and Churn Analysis dashboard for the year 2025.

Q3. The churn rate is 62.05% overall. Is the high churn consistent across all store locations or are specific locations driving this problem?

Answer: The high churn rate is consistent across all store locations, indicating that customer retention is a widespread business issue rather than a problem limited to a few specific regions. Every store location is experiencing a significantly high level of customer churn, which collectively contributes to the overall churn rate of 62.05%.

Among all locations, Rajasthan recorded the highest customer churn rate at 95.60%, making it the most affected region in terms of customer loss. In contrast, Uttarakhand had the lowest churn rate at 92.88%. However, even the lowest-performing region still shows extremely high churn, which suggests that the issue exists across the entire business network rather than being driven by a single location.

Result / Insight: The overall 2025 churn of 62.05% with 1,250 customers lost out of 2,010 previous year customers is significant. New customer acquisition (1,130) is partially compensating but not fully replacing the lost base.

Suggestions:

- Introduce loyalty programs and monthly rewards for top spending customers.
- Offer exclusive deals and personalized offers for returning customers.
- Track New vs Returning customers monthly trend to identify crisis months early.

Q4. Narendra Nagar is the top revenue store. Is its high revenue coming from loyal customers or purely from new customer volume?

Answer: Narendra Nagar shows 100% churn rate, 28 total customers in 2025 — all new, zero returning. The yearly trend shows this pattern has existed since 2018. Top products are basic essentials (Hand Soap, Paper Towels, Creamer, English Muffins, Foam Plates) consistent with trekking and camping supplies which are complemented by the geography of that area. Premium category dominates at 42%. Every customer places exactly 1 order with 1 item in bulk. The store is located in a hilly/trekking geography in Uttarakhand.

Result / Insight: Narendra Nagar is not a standard retail location — it operates as a trekking supply stop. The 100% churn is not a business failure but a natural consequence of the transient customer base. The store showed 93.4% YOY sales growth and 105.5% quantity growth — the fastest growing location. Growth is entirely driven by word of mouth among trekking communities.

Suggestions:

- Never go out of stock on the top 5 trekking essentials for this location.
- Maintain premium product quality — one bad experience reverses word of mouth permanently.
- Consider stocking more outdoor and trekking-specific items to maximize single-visit basket size.
- Do not apply standard retention KPI targets to this location — measure it differently.

Section 3: Strategic Recommendations for FY 2026

Based on the dashboard analysis and stakeholder discussion, the following strategic priorities were identified for the year 2026:

Analyst Recommendations

1. Customer Retention Strategy

- In difficult geographical areas like Narendra Nagar, high churn is natural — focus on perfecting the one-time experience and leveraging word of mouth.
- In mainland urban stores, introduce loyalty programs, monthly rewards, and exclusive offers for top revenue-generating customers to prevent losing them to competitors.
- Offer welcome deals for new customers acquired through campaigns to convert them into returning customers.

2. Supply Chain & Inventory Management

- Do not set unexpectedly high monthly sales targets until supplier and inventory capacity is confirmed to support them.
- Add more suppliers and distribution partners to the network before launching large campaigns.
- Maintain steady monthly targets (e.g. $85K-$90K) rather than chasing $100K spikes that destabilize the supply chain.

3. Product Portfolio Optimization

- Focus investments on Premium and High-Priced product categories which together contribute approximately 64% of revenue.
- Consider phasing out Budget category (contributing only 4% respectively) as they dilute brand image without meaningful revenue contribution.
- For Narendra Nagar specifically, expand trekking and outdoor essentials range.

4. Marketing & Customer Acquisition

- Replace heavy sales campaigns that cause supply disruption with sustained brand building — billboards, digital ads, and area-specific templates.
- For Narendra Nagar, place targeted billboards near trekking routes to capture new visitors before they choose competitors.
- New customer offers to convert first-time buyers into loyal customers, especially the 1,130 new customers acquired in 2025.

5. Brand Positioning

- The data consistently shows premium product dominance — brand communication and store experience should reflect a premium positioning.
- Avoid discounting strategies that may attract low-value customers incompatible with the premium brand direction.

6. Revenue Consistency Over Spikes

- The monthly sales trend shows consistent $80K-$90K performance across most months of the year.
- Targeting a steady under $90K every month is a better annual revenue strategy than chasing $100K in one month and dropping to $70K the next.
- Consistent monthly targets also allow better supplier planning, inventory management, and staffing.

Summary: Key Metrics at a Glance (FY 2025)

Metric	Value	YOY Change
Total Sales	$996.41K	-0.8%
Total Quantity	25.24K	-2.7%
Avg Unit Price	$39.15	+0.9%
Total Customers	1.89K	-5.8%
Total Orders	2.38K	-5.7%
Total Stores	683	-0.3%
New Customers	1,130	-
Returning Customers	762	-
Customer Retention Rate	37.95%	-
Customer Churn Rate	62.05%	-
New Customers Revenue	$585.72K	-
Returning Customers Revenue	$410.68K	-
